

APPLE INC. (NASDAQ: AAPL)

Equity Research Valuation Report

Discounted Cash Flow Analysis

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June 2026

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Graduation Date: May 2029

**Intrinsic Value
Estimate**

182.82

"Price is what you pay. Value is what you get."

- *Warren Buffet*

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Executive Summary

Based on a discounted cash flow valuation, Apple's intrinsic value is estimated at approximately \$182.82 per share compared to a market price near \$299.52. The model incorporates FY2026 actual results through Q2, a 9.01% WACC, and a 2.4% terminal growth rate. The valuation suggests the market is pricing in stronger long-term growth, AI monetization, or free cash flow generation than reflected in the base-case assumptions.

Metric	Value
Current Price	\$297.01
Intrinsic Value	\$182.82
WACC	9.01%
Terminal Growth	2.40%
Upside/Downside	-39.0%
Recommendation	Moderately Overvalued

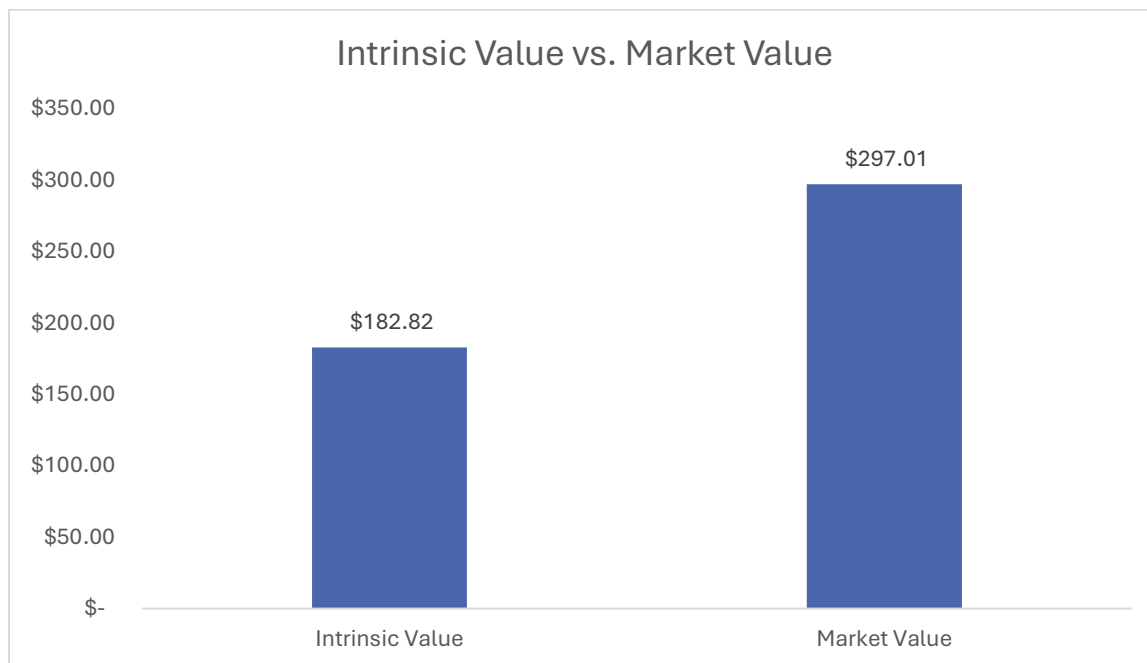


Figure 1. Market Price vs. Intrinsic Value

Company Overview

Apple Inc. is one of the largest and most profitable technology companies in the world, generating revenue through a diversified portfolio of hardware, software, and services. The company's core product lineup includes the iPhone, Mac, iPad, Apple Watch, AirPods, and Vision Pro, while its services segment includes offerings such as iCloud, Apple Music, Apple TV+, AppleCare, and App Store commissions. Through this combination of products and services, Apple has built one of the strongest consumer technology ecosystems in history.

Business Segments

iPhone

The iPhone remains Apple's largest revenue driver and serves as the foundation of the company's ecosystem. While smartphone market growth has slowed compared to previous decades, the iPhone continues to benefit from strong brand loyalty, premium pricing power, and a large installed user base that consistently upgrades devices over time.

Mac and iPad

Apple's Mac and iPad product lines provide diversification beyond the smartphone market while strengthening customer integration within the ecosystem. These products have become increasingly important in education, professional work, and content creation, allowing Apple to expand its presence across multiple consumer and enterprise use cases.

Wearables

Products such as Apple Watch and AirPods have created additional revenue streams while deepening customer engagement. These devices increase ecosystem stickiness by encouraging consumers to remain within the Apple product family and purchase complementary devices over time.

Services

The Services segment has become one of Apple's most important growth drivers due to its recurring revenue model and attractive profit margins. As more users subscribe to Apple Music, iCloud, Apple TV+, and other services, Apple benefits from predictable cash flows and reduced dependence on hardware replacement cycles.

Competitive Advantage

Apple's primary competitive advantage is its ecosystem. Unlike many competitors that rely on a single product category, Apple creates an interconnected experience across hardware, software, and services. Consumers who own multiple Apple products often face significant switching costs due to the convenience and integration of the ecosystem. This allows Apple to maintain premium pricing, generate substantial free cash flow, and sustain industry-leading profitability.

Additionally, Apple's brand strength, customer loyalty, and ability to consistently innovate position the company to remain a dominant force within the technology industry for years to come. While future growth may moderate as the company matures, I believe Apple's ecosystem and recurring services revenue provide a durable competitive advantage that supports long-term value creation.

Investment Thesis

Bull Case

Apple's investment thesis is supported by several long-term growth drivers. First, the company continues to benefit from strong iPhone demand and a highly loyal customer base. Second, the Services segment provides recurring revenue, higher margins, and predictable cash flows. Third, artificial intelligence integration across Apple's ecosystem may support future upgrade cycles and improve user engagement. Finally, Apple continues to return capital to shareholders through share repurchases, which supports earnings-per-share growth even during periods of slower revenue expansion.

Bear Case

Despite its strengths, Apple faces several challenges. Market expectations for artificial intelligence may already be reflected in the current share price, creating execution risk if future AI initiatives fail to meet expectations. Apple also remains exposed to China through both manufacturing and sales operations. Additionally, regulatory scrutiny surrounding App Store practices and digital marketplaces could impact future profitability. Finally, premium product pricing may limit adoption of future innovations such as foldable devices or next-generation hardware offerings.

Final View

While Apple remains one of the highest-quality businesses in the world, my analysis suggests the current market valuation reflects stronger growth expectations than those embedded in my base-case assumptions. As a result, I believe Apple appears moderately overvalued at current levels despite its exceptional business fundamentals.

Forecast Assumptions

FY2026 revenue forecast materially increased after incorporating actual FY2026 Q1 and Q2 results. Revenue is projected to grow from \$499.8B in 2026E to \$633.7B in 2030E. Operating margins remain around 32%, reflecting continued investment in AI and R&D balanced by Apple's pricing power and scale.

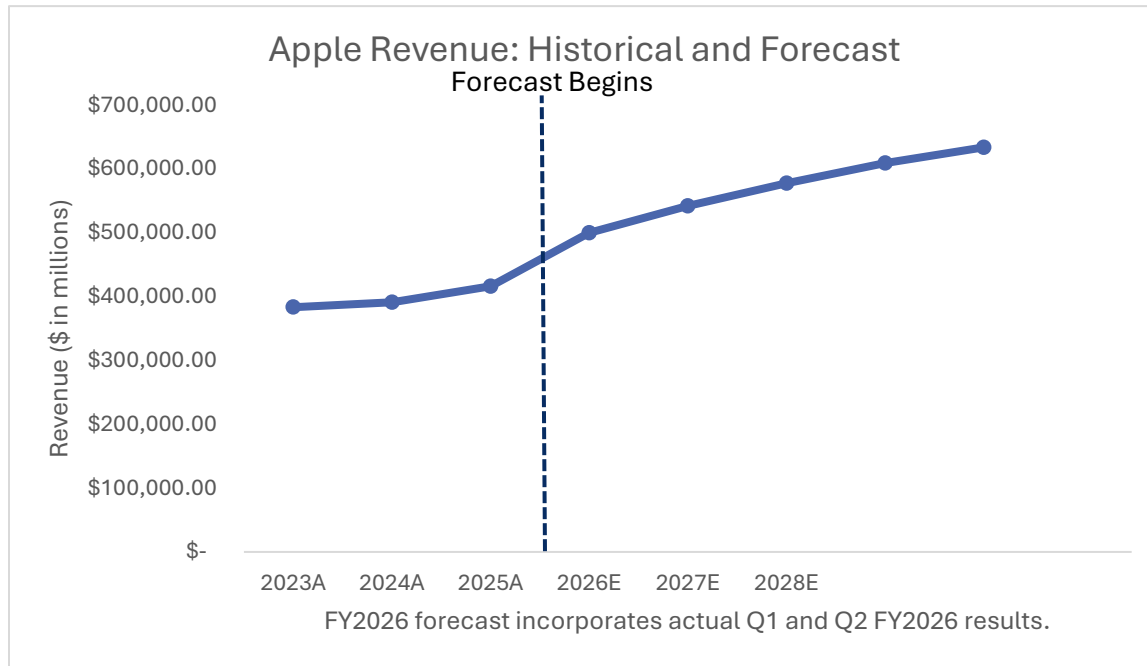


Figure 2. Apple Revenue: Historical and Forecast

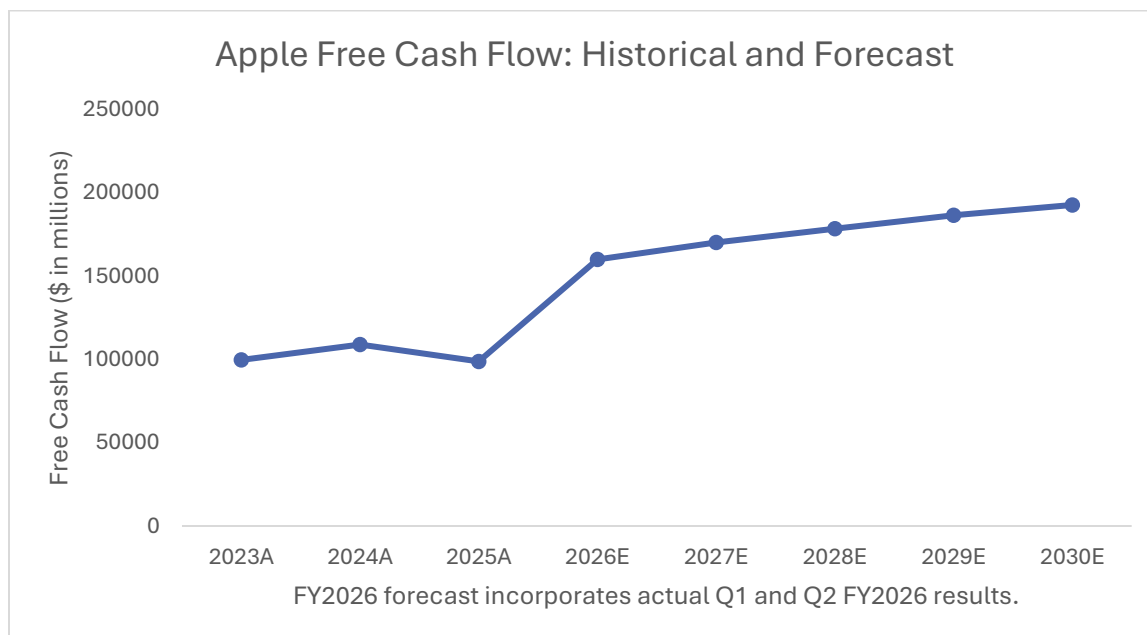


Figure 3. Apple Free Cash Flow: Historical and Forecast

Research Process & Key Analytical Judgments

One of the most valuable aspects of this project was the opportunity to move beyond mechanical spreadsheet construction and make independent analytical judgments regarding Apple's future performance.

Initial Revenue Forecast

At the beginning of the valuation process, I forecasted significantly lower revenue growth and estimated an intrinsic value of approximately \$121 per share. My original assumptions were based primarily on historical growth rates and a conservative outlook for future product launches.

Initially, I believed a potential foldable iPhone launch could create substantial excitement and drive a significant acceleration in revenue growth. However, after conducting additional research, I became more skeptical of this thesis. Reports suggested a potential selling price near \$2,000, which would likely limit adoption among consumers. While I still believe a foldable iPhone could contribute positively to growth, I concluded that the market opportunity was not large enough to justify an aggressive long-term revenue forecast.

As a result, I adopted a more balanced view and projected revenue growth that gradually declines as Apple matures while still benefiting from ecosystem expansion, Services growth, and artificial intelligence integration.

Discovery of FY2026 Actual Results

The most significant finding during the valuation process occurred when I realized that Apple had already reported a substantial portion of fiscal year 2026 results.

My original model treated FY2026 as a forecast year. However, further review of Apple's financial disclosures revealed that through March 28, 2026, the company had already generated approximately:

- \$255.0 billion of revenue
- \$76.1 billion of operating income
- \$82.6 billion of free cash flow

These reported results represented a much stronger starting point than my original assumptions reflected.

After incorporating actual Q1 and Q2 FY2026 performance into the model, forecast revenue increased meaningfully, projected free cash flow increased, and the estimated intrinsic value rose from approximately \$121 per share to approximately \$182.82 per share.

This adjustment reinforced the importance of incorporating the most current available information rather than relying solely on historical trends.

Operating Margin Assumptions

Another key judgment involved Apple's future operating margins.

I expect research and development expenditures to increase over time as Apple continues investing in artificial intelligence, hardware innovation, software development, and future technologies. Additionally, I believe governments may eventually seek additional taxation or regulation related to artificial intelligence infrastructure and deployment, creating potential cost pressures across the technology sector.

Despite these concerns, I have elected to keep operating margins stable at approximately 32% throughout the forecast period.

This decision reflects my belief that Apple's pricing power, ecosystem strength, operational efficiency, and growing Services segment will largely offset increased spending requirements. While costs may rise, Apple has historically demonstrated an exceptional ability to maintain profitability while continuing to invest heavily in future growth initiatives.

Free Cash Flow Expectations

Apple is one of the strongest free cash flow generators in the world. While I expect continued increases in spending related to artificial intelligence, infrastructure, and innovation, I also expect Apple to generate substantial cash flows from its installed customer base and recurring Services revenue.

As a result, I maintained stable free cash flow margins while allowing total free cash flow to increase over time as revenue grows.

Lessons Learned

This project demonstrated that valuation is not simply mathematical exercise. Minor changes in assumptions can have significant impacts on estimated intrinsic value, and the quality of a valuation depends heavily on the quality of the underlying assumptions.

The most important lesson from this analysis was the importance of questioning initial assumptions, incorporating newly available information, and understanding the business drivers behind the financial statements rather than relying solely on spreadsheet outputs.

The project reinforced that successful valuation requires both technical modeling skills and independent analytical judgment.

WACC Methodology

Risk-Free Rate: 4.56% (U.S. 10-Year Treasury)

Beta: 1.09 (Yahoo Finance)

Equity Risk Premium: 4.23% (Damodaran)

Cost of Equity: 9.18%

Final WACC: 9.01%

Cost of Equity = Risk-Free Rate + Beta x Equity Risk Premium

Cost of Equity = 4.56% + (1.09 x 4.23%)

Cost of Equity = 9.18%

DCF Methodology

The valuation forecasts free cash flow through 2030, discounts projected cash flows using WACC, calculates a terminal value using a 2.4% perpetual growth rate, and derives enterprise value, equity value, and intrinsic value per share.

Valuation Process

- I. Forecast revenue and operating income.
- II. Estimate future free cash flow.
- III. Discount forecast cash flows using WACC.
- IV. Calculate terminal value using the Gordon Growth Model.
- V. Discount terminal value to present value.
- VI. Calculate enterprise value.
- VII. Adjust for cash and debt to derive equity value.
- VIII. Divide equity value by shares outstanding to determine intrinsic value per share.

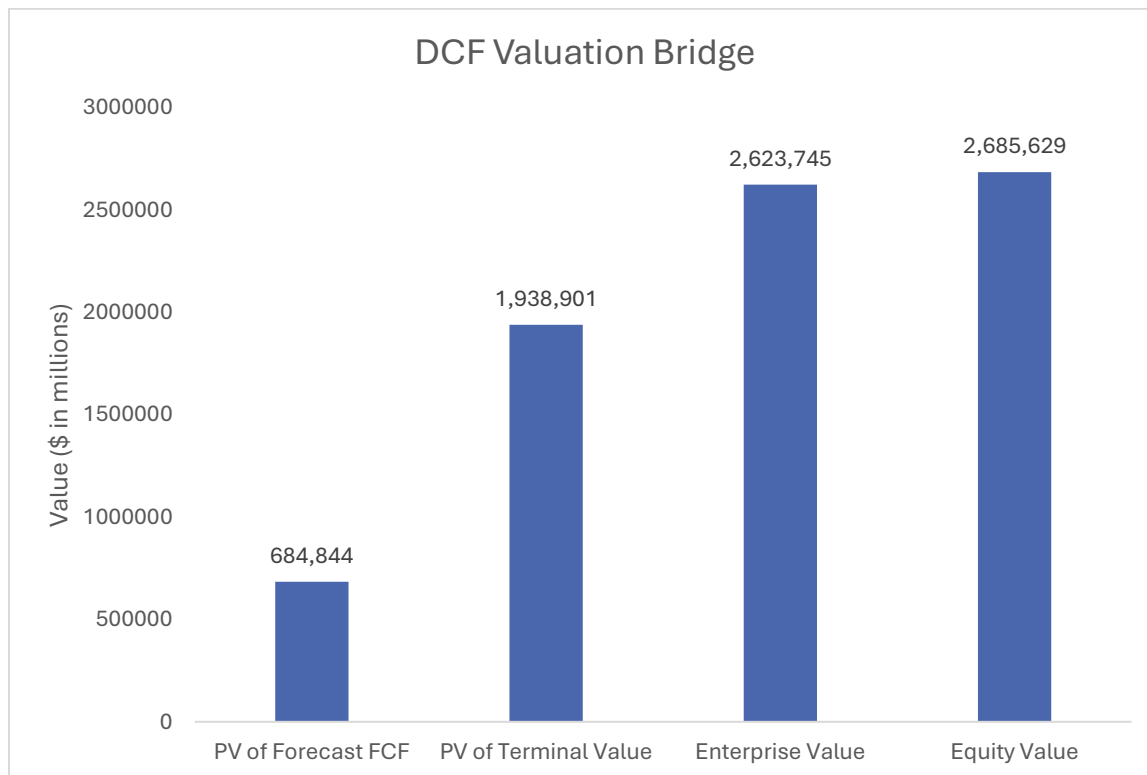


Figure 4. DCF Valuation Bridge

Key Analytical Discovery

The original valuation produced an intrinsic value near \$121/share. After recognizing Apple had already reported approximately \$255B of revenue and \$82.6B of free cash flow through the first half of FY2026, the forecast was revised and intrinsic value increased to approximately \$182.82/share.

Original Valuation: ~\$121/share

Revised Valuation: \$182.82/share

Reason:

Incorporated actual FY2026 Q1 and Q2 results:

- Revenue: ~\$255B
- Operating Income: ~\$76.1B
- Free Cash Flow: ~\$82.6B

Sensitivity Analysis

Valuation is extremely sensitive to WACC and terminal growth assumptions. The sensitivity analysis ranges from approximately \$163.52 to \$235.98 per share.

Sensitivity Analysis Table				
TGR ↓ vs. WACC →				
	8.00%	8.50%	9.00%	9.50%
\$182.82				
2.00%	\$203.85	\$188.33	\$175.04	\$163.52
2.25%	\$210.83	\$194.16	\$179.95	\$167.71
2.50%	\$218.45	\$200.46	\$185.25	\$172.20
2.75%	\$226.80	\$207.32	\$190.96	\$177.03
3.00%	\$235.98	\$214.80	\$197.16	\$182.23

Table 1. Intrinsic Value Per Share Sensitivity Analysis

Risks

Although Apple remains one of the strongest businesses in the world, several risks could negatively impact future performance and reduce shareholder value. These risks were considered throughout the valuation process and influenced several of the assumptions used within the model.

Artificial Intelligence Risk

Artificial intelligence represents both an opportunity and a risk for Apple. While investors have increasingly focused on Apple's AI initiatives, there is no guarantee that future AI products and services will generate meaningful revenue growth or improve customer adoption rates. The market currently appears to be pricing in significant AI-related optimism, and failure to meet these expectations could result in slower growth and valuation compression. Additionally, continued investment in AI infrastructure, research, and development may place pressure on future profitability if returns on those investments fail to materialize.

China Risk

China remains one of Apple's most important markets and manufacturing hubs. Any deterioration in U.S.-China relations, trade restrictions, tariffs, supply chain disruptions, or regulatory actions could negatively impact Apple's operations. The company's reliance on Chinese manufacturing creates potential vulnerabilities that could affect production efficiency, product availability, and profitability. While Apple has begun diversifying portions of its supply chain, China remains a significant operational risk.

Regulatory Risk

As one of the world's largest technology companies, Apple faces increasing scrutiny from governments and regulators. Areas of concern include App Store policies, digital marketplace practices, privacy regulations, and potential antitrust actions. Regulatory changes could reduce service revenue, increase compliance costs, or limit Apple's ability to operate its ecosystem as it currently does. As governments continue evaluating the influence of large technology firms, regulatory pressure is likely to remain an ongoing risk.

Valuation Risk

One of the most significant risks identified during this analysis is valuation risk. Apple's current market price suggests investors may be expecting stronger long-term growth, higher free cash flow generation, or more successful AI monetization than reflected in my base-case assumptions. While Apple remains an exceptional business, even great companies can produce disappointing investment returns when purchased at elevated valuations. If future growth fails to meet market expectations, the stock could experience multiple contraction despite continued operational success.

Conclusion

Apple is one of the strongest companies in the world, with an ecosystem, brand, and customer loyalty that few businesses can match. Through its combination of hardware, software, and services, the company has consistently generated significant revenue, profitability, and free cash flow.

Based on my DCF analysis, I estimate Apple's intrinsic value at approximately \$182.82 per share compared to a current market price of about \$297 per share. Under my assumptions, this suggests the stock is currently trading above its intrinsic value.

The biggest lesson from this project was the importance of challenging assumptions. My original valuation was only about \$121 per share, but after reviewing Apple's FY2026 results and realizing the company had already generated \$255 billion in revenue and \$82.6 billion in free cash flow through the first half of the year, I revised my forecasts. That process increased my valuation to \$182.82 per share and showed how much impact updated information can have on a model.

While I believe my assumptions are reasonable, valuation is not an exact science. Small changes in growth rates, margins, or discount rates can significantly impact on the final result. Although my analysis suggests Apple is moderately overvalued today, I still believe it is one of the highest-quality businesses in the world and will likely continue creating value for shareholders over the long term.

Analyst Disclaimer

This report was prepared independently for educational and research purposes. All estimates, assumptions, and conclusions reflect the author's judgment based on publicly available information and should not be interpreted as investment advice or a recommendation to buy or sell securities.

[DCF Valuation](#)

Sources & References

Primary Sources	Market Data
AAPL 10-K	Yahoo Finance
AAPL Q1 10-Q	TreasuryDirect
AAPL Q2 10-Q	Damodaran Online

Appendix A – Revenue Forecast

Year	Revenue
2023A	383,285
2024A	391,035
2025A	416,161
2026E	499,809
2027E	541,793
2028E	577,552
2029E	609,317
2030E	633,690

Appendix B – WACC Build

Component	Value
Risk-Free Rate	4.56%
Beta	1.09
ERP	4.23%
Cost of Equity	9.18%
Cost of Debt	1.65%
Tax Rate	16%
Equity Weight	97.84%
Debt Weight	2.16%
WACC	9.01%

Appendix C – Valuation Summary

Metric	Value
Terminal Value	2,984,547
PV of Terminal Value	1,938,901
Enterprise Value	2,623,745
Equity Value	2,685,629
Intrinsic Value	\$182.82